BUSINESS IMMERSION PROJECT OF

"CUSTOMER SEGMENTATION FOR TARGETED ONLINE ADVERTISING"

Report Submitted to Chandigarh Engineering College in Partial fulfillment of the requirements for the degree of

Master's in Business Administration

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DECLARATION

I, Naman hereby declare that the ***Business Immersion Project*** titled "**Data-Driven Customer Segmentation: A Path to Targeted Online Advertising"** prepared by me under the guidance of Mr. Amanpreet Singh, Faculty of the Department of Management Studies (MBA), Chandigarh Engineering College, Jhanjeri, Mohali.

I also declare that this Business Immersion Project is undertaken in partial fulfillment of the university Regulations for the award of the degree of Master of Business Administration (Autonomous), Punjab Technical University, Punjab.

I have undergone a Business Immersion Project for 8 Weeks. I further declare that this report is based on an original study undertaken by me and has not been submitted earlier for the award of any degree or diploma from any other University/ Institution.

Place: Chandigarh **Student Name: Naman**

Date: 31-10-2025 **UNS. RN. : 2501078050**

CONTENT SHEET

Sl NO	CHAPTERS	PAGE NUMBER
1	**Abstract** • Purpose • Methodology • Major Findings • Keywords	4-7
2	**Introduction** • Background • Structure of the Industry • Pricing Strategies • Indian Market Share • Current Production Scenario • Product Details • Government Initiatives	8-16
3	**Competition Scenario** • Major Players Network • Foreign Incursion	17-20
4	**National Guidelines**	21-22
5	**Major Mergers & Acquisition**	22-23
6	**International Exposure**	24-25
7	**Challenges & Opportunities**	26-27
8	**Future outlook**	28-30S
9	**Conclusion**	31
10	**References** • Annexures	32

1. ABSTRACT

PURPOSE:

The purpose of my project is to learn how dividing customers into different groups makes online advertising better. When a business knows the type of people who are interested in their products, they can show ads only to those groups. This helps in two ways: customers see ads that are useful for them, and companies spend less money, because ads don't go to people who don't care. For example, an online shoe store may show sports shoe ads to people interested in running, while showing formal shoe ads to working professionals. Customer segmentation is important for making ads personal and increasing sales.

METHODOLOGY:

This started with collecting customer data. This data comes from online shopping websites, social media platforms, feedback forms, and browsing history. Some data is simple, like age or location; other data is about interests, hobbies, and what customers buy most. After collecting this data, I cleaned it up—removing mistakes and filling gaps. Then, I divided customers using different customer segmentation methods: Demographic Segmentation: Grouping by age, gender, income, education. Geographic Segmentation: Grouping by city, state, or country. Psychographic Segmentation: Grouping by lifestyle, personality traits, hobbies. Behavioral Segmentation: Grouping by shopping habits, favorite brands, websites visited. I used common tools like Excel and Google Analytics to organize this data and find patterns. Sometimes, businesses use AI or machine learning for more detailed segments; but in my study, I kept it simple so anyone can understand. After forming the groups, I checked which ads would work best for each group. For example, young adults get ads for gadgets and fashion; families get ads for groceries and kids' products. Finally, I tested what happens when ads target each segment: did people notice, click, or buy? I studied best practices by big brands like Netflix, Amazon, and local businesses. I made note of mistakes, like sending ads to the wrong group and how to fix them.

MAJOR FINDINGS:

After analyzing, I found that customer segmentation gives many benefits:

- Ads become more relevant—people see offers they care about.
- More people click on ads because the content matches their needs.
- Businesses save money by reducing wasted advertising on the wrong people.
- Sales go up because interested people buy more.
- Customers are happier because they don't get spam about things they don't want.

I also learned that segmentation is never perfect the first time. It improves over time, as more data is collected and as customer preferences change. Challenges include data privacy (keeping information safe), managing large data sets, and adjusting groups as trends shift.

Real-life examples showed me segmentation works everywhere. A pizza shop sends offers only to people living nearby, not the whole city. An online clothing store shows winter wear ads in North India, summer clothes in South India, based on location data. Netflix suggests shows based on what you watch, so everyone's home page looks different. Businesses that use segmentation grow faster and have happier customers. Even small shops can do it by sending special deals to regular buyers versus first-timers.

KEYWORDS:

Customer Segmentation

Targeted Advertising ,

Online Marketing

Demographics

Psychographics

Behavioral Segmentation

Geographic Segmentation

Personalization

Clustering

Data Analytics

Marketing Strategy

INTRODUCTION

BACKGROUND:

Earlier, advertisements were mostly done through television, radio, and newspapers. These were called mass marketing methods because the same ad was shown to everyone, no matter who was interested or not. But with the rise of the internet and smartphones, this approach changed completely.

Now, every click, like, share, and purchase gives information about a customer's preferences. Companies collect this information with the help of cookies, search history, and social media activity. This collected data is analyzed to understand:

- What customers like or dislike
- What kind of products they search for
- How often they shop online

For example : **Netflix** uses viewing history to suggest shows and movies to each user personally. Similarly, **Amazon** recommends products based on what customers have previously bought or searched for. This use of data is the foundation of targeted online advertising.

Data Collection → Segmentation → Targeting → Personalized Ads → Higher Sales

STRUCTURE OF INDUSTRY :

The online advertising industry is made up of many connected parts. Each one plays a different role in making sure ads reach the right people. The main components are:

1. Advertisers: These are companies or brands that want to promote their products or services (like Coca-Cola, Amazon, or Flipkart).

2. Ad Agencies: They plan and design the advertisements. Examples include Ogilvy, Dentsu, and Wunderman Thompson.

3. Ad Platforms: These are digital spaces like Google Ads, Facebook Ads, Instagram Ads, and YouTube Ads where ads are shown.

4. Analytics Firms: They collect and analyze data about customer behavior, ad reach, and engagement.

All these elements work together in a continuous cycle where data is collected, analyzed, and used to improve future campaigns.

A circular flow with the four parts:

Advertiser → Agency → Platform → Audience → Feedback to Advertiser.

PRICING STRATEGIES:

Online advertising uses various pricing models depending on how the ad performs. The most common ones are:

1. CPC (Cost Per Click): Advertiser pays only when someone clicks the ad.

2. CPM (Cost Per Mille): Advertiser pays for every 1,000 views (impressions).

3. CPA (Cost Per Acquisition): Advertiser pays only when a customer completes an action like purchasing or signing up.

4. CPV (Cost Per View): Mostly used for video ads, where payment is based on the number of views.

For example : if Nykaa runs a CPC campaign at ₹5 per click and 5,000 people click, the cost is ₹25,000.

This helps brands manage their budget and track the return on every rupee spent.

Example:

Model	Description	Example Cost
CPC	Per click	₹5–₹20
CPM	Per 1000 views	₹150–₹500
CPA	Per sale	₹200–₹1000

INDIAN MARKET SHARE :

India has become one of the fastest-growing digital advertising markets in the world. With over 800 million internet users, brands are shifting their focus to online promotions**.**

- Total **digital ad spendi**ng in India is estimated to be around **₹50,000 crore in 2025**.
- **Google** holds about **45%** of the online ad market, mainly through Google Search and YouTube.
- **Meta (Facebook + Instagram)** holds around **25%.**
- **Other platforms** like LinkedIn, Twitter, Amazon Ads, and native ad networks cover the remaining **30%.**

Popular Indian companies like Zomato, Swiggy, and Flipkart rely heavily on customer segmentation for marketing their products efficiently.

CURRENT PRODUCTION SCENARIO:

The "production" in this industry means the process of creating, running, and optimizing advertisements. Earlier, ads were made manually and placed in newspapers or TV, but now most online ads are created using AI tools.

Steps in online ad production:

1. Data collection

2. Target group identification

3. Ad design using creative tools (like Canva or Adobe)

4. Running ads on platforms

5. Monitoring performance

6. Adjusting audience or budget

Programmatic Advertising uses automation where computers buy ad space instantly depending on the audience profile.

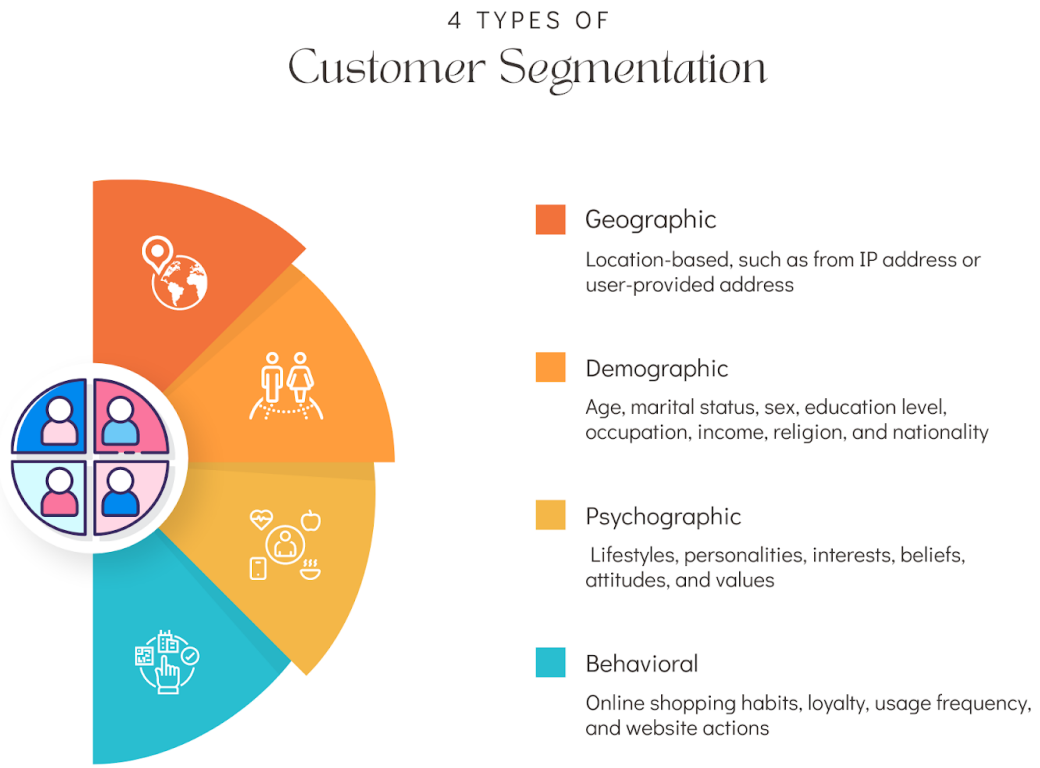
Another big trend is **Influencer Marketing** — brands collaborate with social media influencers to reach niche audiences.

Example: Mamaearth uses Instagram influencers to promote skincare products among young women aged 18–25.

Brand → AI Tool → Ad Design → Target Audience → Customer Response → Feedback Loop

PRODUCT DETAILS:

The main "product" discussed here is the Customer Segmentation System used in advertising. Segmentation divides people into categories so that ads can be made more relevant.



Types of segmentation:

1. **Demographic:** Age, gender, income, education.

→ Example: Pampers targets young parents.

2. **Geographic**: City, state, or region.

→ Example: Swiggy ads only in cities where delivery is available.

3. **Psychographic**: Lifestyle, interests, and attitudes.

→ Example: Travel brands target adventure lovers.

4. **Behavioral:** Based on buying habits or browsing patterns.

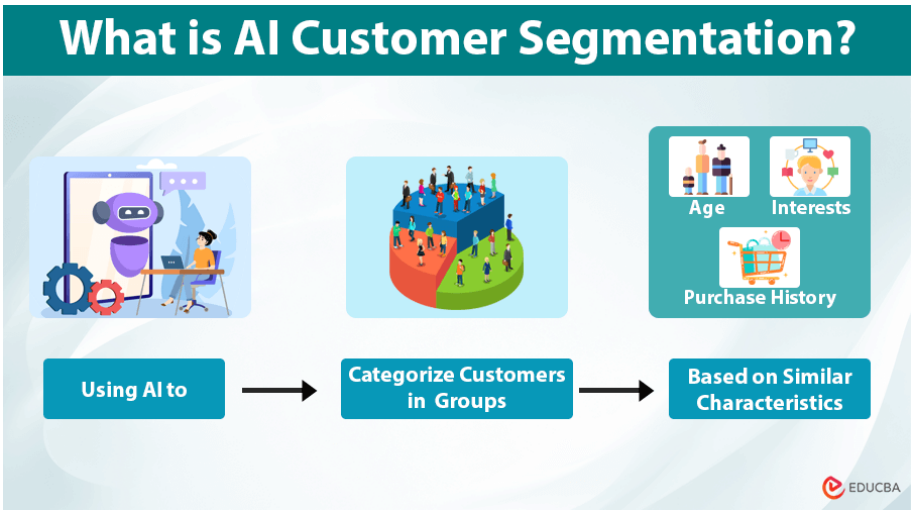
→ Example: Amazon shows "Recommended for You" items.

Segmentation Type	Example	Benefit
Demographic reach	Nykaa targets women aged 18–35	Focused
Geographic targeting	Swiggy in metro cities	Local
Psychographic	Nike targets athletes	Brand loyalty
Behavioral experience	Netflix suggestions	Personalized

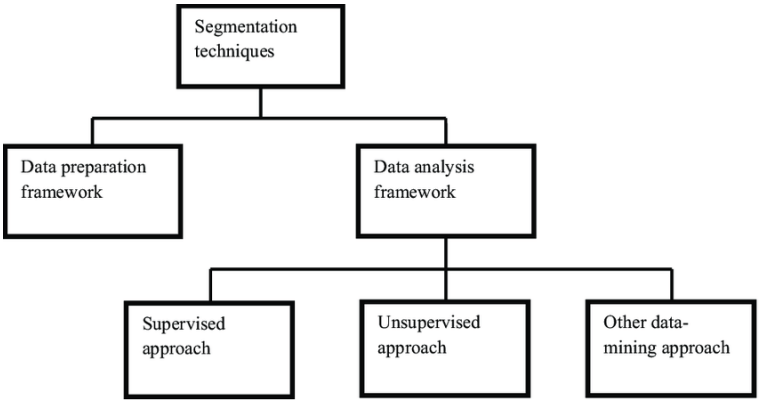
Use of Technology :

Modern online advertising is deeply connected with technology. Some key tools and methods are:

- **Artificial Intelligence (AI):** Predicts what users might buy next.



- **Machine Learning:** Learns user behavior to improve targeting
- **Data Analytics:** Helps track ad performance and audience response.
- **Cookies and Pixels:** Used to collect online user activity.
- **CRM Software:** Manages customer relationships and campaigns.



<u>Example:</u> **Spotify** uses AI to analyze what songs people like and plays personalized ads between tracks.

Google Ads automatically adjusts bids using machine learning to reach the best audience at the lowest cost.

Data Collection → AI/ML Analysis → Personalized Ad → Performance Review

Real-Life Examples :

Company Segmentation	Used	Result
Amazon	Behavioral	Boosted sales by 30% through recommendations
Netflix	Behavioral	Increased user retention
Zomato	Geographic & Time-based	Personalized meal ads
Nykaa	Gender + Interest	Grew customer base among women
Swiggy	Local targeting	Higher conversion rates

Each of these companies collects user data and uses it smartly to make ads more relevant.

Challenges in Customer Segmentation :

Although segmentation is useful, it also has some challenges:

1. Privacy Concerns: Users are often worried about how their data is being used.

2. Data Accuracy: Wrong or incomplete data leads to poor targeting.

3. High Competition: Many brands target the same customer group.

4. Changing Behavior: Customer interests change quickly online.

5. Ad Fatigue: Seeing too many ads can make users ignore them.

To solve this, companies follow data protection laws and keep updating their marketing strategies regularly.

GOVERNMENT INITIATIVES :

The Indian government has introduced many schemes and policies to promote digital growth:

1. Digital India Mission (2015): Encourages internet use for business and marketing.

2. Personal Data Protection Bill (2023): Ensures privacy and security of user data.

3. Startup India: Supports startups in AI and digital marketing.

4. Make in India: Promotes Indian tech firms working in digital analytics.

5. 5G Internet Launch: Faster connectivity improves ad delivery and targeting.

Example: Small businesses in tier-2 and tier-3 cities now easily advertise through Facebook and Google due to the Digital India initiative.

2015 – Digital India → 2018 – Startup India → 2023 – Data Protection → 2025 – 5G Growth

Role of Data Analytics :

Data analytics plays a central role in segmentation and targeting. It helps marketers:

- Track which ads perform best
- Understand user journey
- Optimize budget spending
- Predict future trends

Example: Flipkart tracks which customers buy during sales and sends them early deal alerts next time.

Impact on Businesses :

Customer segmentation has made online advertising more efficient. Instead of wasting money on unwanted audiences, companies can now focus on those who are most likely to buy.

Benefits:

- Increased sales
- Better customer satisfaction
- Higher return on investment (ROI)
- Stronger customer relationships
- Real-time performance tracking

Example: Tata Cliq and **Ajio** both use data-based segmentation to show users the right fashion products at the right time.

Future of Customer Segmentation

The future of digital advertising in India looks bright. With the rise of **AI, 5G, and advanced analytics,** companies will move towards **hyper-personalization**, where every customer gets unique ad experiences.

Voice-based ads (like Alexa and Google Assistant) and AI chatbots will also become part of targeted marketing. Augmented Reality (AR) ads may allow users to “try” products virtually before buying.

As more people go online, segmentation will help even small businesses advertise effectively.

2. COMPETITION SCENARIO

MAJOR PLAYERS NETWORK:

The Indian digital advertising industry is dominated by a few large companies that provide ad platforms, analytics tools, or services. These are called **Major Players** in the market.

1. Google Ads (Alphabet Inc.)

- Largest player in online advertising.
- Operates Google Search Ads, YouTube Ads, and Display Ads.
- Uses AI and machine learning to segment users and show the right ads.
- Holds around **45% market share** in India.

Example:

If a person searches "best smartphones under ₹20,000", Google immediately shows ads from brands like Samsung, Vivo, or Flipkart.These ads are shown based on the user's location, income group, and interest — a perfect example of customer segmentation.

2. Meta (Facebook & Instagram)

- Second-largest player with around 25% market share.
- Known for powerful targeting options — age, gender, interest, behavior, etc.
- Popular among fashion, food, and entertainment brands.

Example:

A clothing brand like **H&M** runs Instagram ads targeting 18–25-year-old females interested in fashion and lifestyle.

This increases sales and customer engagement without wasting ad money.

MAJOR PLAYERS IN DIGITAL ADVERTISING

Google Ads	Meta Ads	Amazon Ads
(Search, YouTube)	(Facebook, Instagram)	(E-commerce platform|

3. Amazon Advertising

- Growing rapidly in India.
- Works mainly on **e-commerce customer data.**
- Targets users based on their shopping behavior and product search history.

□ Example:

If a customer buys protein powder on Amazon, they will soon see ads for gym wear, shakers, and supplements — all connected through behavioral segmentation.

4. Indian Players (Domestic Companies)

While global giants lead the market, Indian firms are also competing strongly:

- **InMobi**: India's own mobile advertising company, operating in 100+ countries.
- **Times Internet**: Runs ad services across news and entertainment platforms.
- **Zomato & Swiggy**: Use in-app ads and local segmentation for restaurants.
- **Hotstar Ads**: Targets users based on show preferences and regions.

These Indian companies are developing local ad networks that compete directly with global firms, especially for small and medium-sized businesses.

Advertisers

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Ad Platforms (Google, Meta, InMobi)

↓

Target Audience

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Data Feedback → Analytics & Optimization

Foreign Incursion :

"Foreign Incursion" means the entry and dominance of **international companies** in India's online advertising market.

Global giants like **Google, Meta, Amazon, and Microsoft** have invested heavily in India because of its growing internet population and affordable data rates.

1. Entry of Global Giants

Foreign firms entered the Indian market by offering:

- Low-cost ad campaigns
- Advanced targeting technology
- Free tools like Google Analytics, Meta Business Suite, etc.

This made it difficult for small Indian ad companies to compete.

 Example:

Earlier, local newspapers and small agencies controlled advertisements.

Now, businesses prefer to spend on Google Ads or Facebook Ads because they provide instant results and detailed reports.

2. Impact on Indian Companies

- Indian companies now face **tough competition** in pricing and innovation.
- Many Indian startups collaborate with global firms instead of competing.
- Data dependency on foreign companies has increased.
- However, Indian firms are also learning from these global leaders and improving their technology.

Example:

InMobi (India's ad-tech startup) started competing globally and is now a strong alternative to Google Ads in mobile **marketing.**

3. Positive Effects of Foreign Incursion

Foreign players have brought:

- Better technology and analytics tools
- Increased employment in digital marketing
- Global exposure for Indian brands
- Knowledge sharing and innovation

Example:

Indian startups like **Meesho** and **Mamaearth** advertise internationally through Meta and Google platforms, getting global customers easily.

4. Negative Effects

- Data collected by foreign companies is stored outside India.
- Local players find it hard to match global pricing.
- Dependency on global ad platforms has reduced Indian market control.

Impact of Foreign Incursion on India

Positive: Better tech, exposure

Negative: Data control issues

Real-Life Examples of Competition

Company	Type	Main Strategy	Example
Google	Foreign	Search Ads, YouTube	Dominates 45% market
Meta	Foreign	Social Ads	Instagram fashion campaigns
InMobi	Indian	Mobile Ads	Competes globally
Amazon Ads	Foreign	E-commerce Data ads	Product-based
Hotstar Ads	Indian	Ads during IPL and shows	Regional Ads

3. NATIONAL GUIDELINES

The Government of India has made several rules, policies, and guidelines to make online advertising safe, transparent, and responsible. These guidelines help protect customer data and prevent misuse of online platforms.

1. Data Protection and Privacy:

One of the most important national guidelines is the **Digital Personal Data Protection Act (DPDP Act) 2023.**

It ensures that companies:

- Collect data only with user permission.
- Store data safely and securely.
- Do not misuse or sell personal information.
- Delete data if users request it.

 Example:

If a shopping website collects your email for an order, it cannot use that email to send ads without your permission.

Customer Data → Company Permission → Secure Storage → Used for Targeted Ads (With Consent)

2. ASCI Guidelines (Advertising Standards Council of India)

ASCI ensures that online advertisements are:

- Truthful and not misleading
- Not offensive or harmful
- Clear about paid promotions

 Example:

Influencers must write “#ad” or “#sponsored” if they are promoting a product on Instagram or YouTube.

This keeps advertising transparent for customers.

3. IT Act, 2000 (Information Technology Act)

This law covers cybercrime and online misuse.

It helps protect against:

- Fake ads
- Data theft
- Misuse of customer information

Companies using online ads must follow cybersecurity rules and report any data leaks.

4. Consumer Protection Act, 2019

The law ensures that customers are not misled by false advertising.

If a brand gives fake information, customers can file a complaint.

 Example:

If a skincare brand claims "instant results" and fails to deliver, it can be fined for misleading advertisements.

5. Digital India Initiative

The Digital India Mission (2015) promotes digital access and awareness across India.

It encourages small businesses to advertise online, especially in rural and semi-urban areas.

Digital India → Internet Access → Online Business → Growth in Advertising

Real-Life Example

The **Advertising Standards Council of India (ASCI)** fined a few influencers in 2024 for not mentioning "paid partnership" on their Instagram posts.

This shows that the government is serious about digital ad transparency.

4. MAJOR MERGERS AND AQUISITIONS

The digital advertising industry keeps changing due to mergers and acquisitions (M&A).

M&A means when two companies join together or when one buys another company to grow faster, expand reach, or improve technology.

1. Why Mergers & Acquisitions Happen

Companies merge or acquire others to:

- Get new technology
- Expand to new countries
- Reduce competition
- Improve customer targeting
- Increase profit and market share

Merger/Acquisition → Shared Technology → Better Services → Larger Market Share

2. Global Level Examples

a) Google Acquires Double Click (2008)

- Google bought Double Click for $3.1 billion.
- Double Click provided ad-serving technology.

This helped Google become the world leader in display advertising.

 Example:

Now, when we see display ads on news websites, most are powered by Google's ad system that came from this acquisition.

b) Facebook Acquires Instagram (2012)

- Meta (then Facebook) bought Instagram for $1 billion.
- Helped Facebook reach young audiences and strengthen visual advertising.
- Today, Instagram ads are one of the most used targeted ad formats globally.

c) Microsoft Acquires LinkedIn (2016)

- Microsoft purchased LinkedIn for $26 billion.
- This merger helped Microsoft enter the professional advertising and networking space.

3. Indian Market Examples

a) InMobi Acquires Sprout (2011)

- InMobi, India's largest mobile advertising company, bought Sprout to improve creative ad design.
- This helped InMobi compete globally.

b) Times Internet Acquires MX Player

- Times Group purchased MX Player to expand in digital content and ads.
- Now MX Player runs both entertainment and ad-based revenue models.

c) Zomato Acquires Blinkit (2022)

Though not purely ad-based, this merger shows how companies expand their reach and customer segments using digital marketing.

4. Effects of Mergers

Positive Impacts:

- Better technology
- Global reach
- Innovation in targeting methods

Negative Impacts:

- Reduced competition
- Risk of monopoly
- High data concentration in a few companies

Before Merger → Many Small Competitors

After Merger → Fewer Big Players with More Power

Real-Life Example

After acquiring Instagram, Facebook's ad revenue grew by more than 50% within a year.

This shows how mergers improve targeting through combined data and technology.

5. INTERNATIONAL EXPOSURE

International exposure means **how Indian advertising companies and brands are connecting with the global market.**

With globalization and the internet, Indian firms are now competing and collaborating with international players.

1. Growth of Indian Advertising Globally

Indian ad-tech firms like **InMobi, Zapr, and Madison World** now serve clients across countries.

They use Indian talent and technology to deliver digital campaigns worldwide.

 Example:

InMobi started in Bengaluru and now operates in more than 100 countries, serving brands like Unilever and Samsung.

2. Global Brands in Indian Market

Foreign companies like **Google, Meta, and Amazon** entered India and brought advanced technology.

In return, Indian marketers learned international techniques like:

- Programmatic Advertising
- AI-based Targeting
- Influencer Marketing

Global Firms → Technology Transfer → Indian Firms Learn → Improved Ad Campaigns

3. Export of Indian Talent

India is becoming a **hub of digital marketing experts**.

Many professionals from India now work for international clients and manage global ad campaigns.

This creates global exposure and builds India's reputation in digital advertising.

 Example:

Agencies like **WATConsult** and **Dentsu India** handle ad campaigns for brands in the Middle East, UK, and US.

4. Cross-Country Advertising Campaigns

Many global brands use **Indian market learnings** to advertise abroad.

For instance:

- **Zomato** expanded from India to UAE and Singapore using data-based customer segmentation.
- **Byju's** and **Tata Motors** use international digital campaigns targeting Indian audiences abroad.

5. Role of International Policies

Online advertising is now affected by global data privacy laws such as:

- GDPR (Europe)
- CCPA (California)

Indian companies must follow these when running ads in those regions.

India ↔ Global Market ↔ Shared Data & Technology

6. Benefits of International Exposure :

- Better knowledge of foreign markets
- Advanced technology learning
- Global brand recognition
- New business opportunities

6. CHALLENGES AND OPPORTUNITIES

Customer segmentation is helping advertisers reach the right people, but it is not always simple. Companies face several **challenges**, but also have big **opportunitie**s for innovation and growth.

 Challenges

1. Data Privacy and Security

- Customers are more aware of how their personal data (like age, location, interests) is used.
- Governments have strict laws like **GDPR (Europe)** and **Digital Personal Data Protection Act (India 2023).**
- Advertisers must ask permission before using data.

 Real-life Example:

When you install Instagram, it asks for permission to access camera or location — this is part of privacy control.

2. Ad Fatigue

- People see 300+ ads daily on YouTube, Facebook, etc.
- They skip or ignore them after a point.
- This reduces ad effectiveness even with good segmentation.

 Example:

You might skip most YouTube ads before your video starts — this is ad fatigue.

3. Changing Consumer Behavior

- Trends on social media change weekly.
- Companies must keep updating their segmentation strategy.

4. High Competition

- Every brand now uses digital ads.
- When many companies target the same audience, ad prices go up.

5. Fake Clicks and Bots

- Automated programs click on ads, wasting advertiser budgets.
- Reduces reliability of ad results.

□ Opportunities

1. Artificial Intelligence (AI)

- AI helps identify user patterns, predict needs, and target accurately.
- Makes ad delivery faster and smarter.

□ **Example:**

Amazon recommends products before you search — based on browsing history.

2. Regional and Vernacular Advertising

- India has 22+ languages.
- Brands now make local language ads to connect better.

□ **Example:**

Swiggy shows Punjabi or Tamil ads during regional festivals.

3. Influencer Marketing

- Social media influencers act as direct segment connectors.
- Brands choose influencers based on their followers' interests.

4. Voice and Smart Devices

With Alexa, Siri, and Google Assistant, voice-based ads are the next big thing.

□ Diagram: Challenges vs Opportunities

CHALLENGES	**OPPORTUNITIES**
Data Privacy	AI & ML Segmentation
Ad Fatigue	Regional Targeting
Competition	Voice Tech & IoT Ads
Fake Clicks	Influencer Marketing

8. FUTURE OUTLOOK

The future of customer segmentation looks bright and technology-driven.

Advertising will become **smarter, faster, and more personalized** than ever before.

1. Predictive Advertising

AI will predict what a person might buy even before they search for it.

It will use history, time, and behavior to forecast needs.

 Example:

Netflix already shows movies you “might like.” Future ads will do the same for shopping.

2. Metaverse and Virtual Ads

The metaverse is a virtual 3D world where people can shop, meet, and play.

Brands will soon start advertising there using avatars and virtual stores.

Example: Nike already has a virtual showroom on Roblox.*

3. Regional and Emotional Marketing

Instead of just language, future ads will use emotions and local culture for deeper impact.

AI will read reactions and change ad tone accordingly.

4. Data Protection and Trust

Future advertising will depend on how responsibly companies handle data.

Only transparent, safe brands will succeed.

5. Sustainability and Ethical Ads

Customers now prefer environment-friendly and social brands.

Advertisers will create campaigns promoting sustainability.

Today → Personalized Ads

Next Step → AI + Predictive Ads

Future → Meta verse + Ethical Ads

AI Learning

↓

Predictive Targeting

↓

Real-time Ad Delivery

↓

Customer Trust & Retention

Example:

Spotify uses your mood to play songs — in the future, ads will change the same way!

8. CONCLUSION

Customer segmentation for online advertising is now the most powerful tool for businesses.

Instead of showing one ad to everyone, companies target customers based on age, interest, behavior, and geography.

 Why Segmentation Works

1. Reduces advertising waste.

2. Increases return on investment (ROI).

3. Improves customer satisfaction.

4. Builds brand loyalty.

 Example:

Zomato shows different offers to office workers during lunch and to students in the evening — perfectly segmented!

Impact

- Businesses reach customers faster.
- Customers see only relevant ads.
- Brands become more trustworthy and relatable.

 Diagram: Benefits of Customer Segmentation

Accurate Data

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Right Target Group

↓

Relevant Ads

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Better Sales

↓

Customer Loyalty

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S. No.	CONTENT	Figure No.	Page No.
1	Customer Segmentation	1.1	6
2	Types of Market Segmentation	1.2	11
3	AI Customer Segmentation	1.3	13